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Self-examination questions



I Multiple choice questions

Choose the correct answer

1. Closing stock is an item of _____.
   (a) Fixed asset
   (b) Current asset
   (c) Fictitious asset
   (d) Intangible asset

2. Balance sheet is _____
   (a) An account
   (b) A statement
   (c) Neither a statement nor an account
   (d) None of the above

3. Net profit of the business increases the _____
   (a) Drawings
   (b) Receivables
   (c) Debts
   (d) Capital

4. Carriage inwards will be shown
   (a) In the trading account
   (b) In the profit and loss account
   (c) On the liabilities side
   (d) On the assets side

5. Bank overdraft should be shown
   (a) In the trading account
   (b) Profit and loss account
   (c) On the liabilities side
   (d) On the assets side

6. Balance sheet shows the _____ of the business.
   (a) Profitability
   (b) Financial position
   (c) Sales
   (d) Purchases